

SUPPLY AND INSTALLATION AGREEMENT

Electrical Equipment, Cables, Safety Systems and Local Content

Contract No.: SANAD-ELC-2026-0815

Effective Date: 15 August 2026

Contract Term: 12 months

Contract Value: SAR 4,850,000 (exclusive of VAT)

This document is a fictional test contract prepared for contract-analysis software validation. All entities, prices, identifiers and project details are illustrative.

1. Parties and Contract Particulars

The Purchaser is Gulf Integrated Projects Company (GIPC), Jeddah, Kingdom of Saudi Arabia. The Supplier is Advanced Power & Cable Solutions LLC (APCS), Kingdom of Saudi Arabia. Each is a "Party" and together the "Parties."

Project: Supply, delivery, testing and commissioning of electrical equipment and low/medium-voltage cable systems for the Al Noor Industrial Expansion Project.

Contract administrator: Purchaser Procurement Manager. Supplier project manager: Supplier-appointed Project Manager. Formal notices shall be issued through the contract administrators and recorded in the project correspondence register.

2. Scope of Work

The Supplier shall manufacture, procure, inspect, package, transport, deliver, install where stated, test and commission the equipment listed in the Bill of Quantities. The Supplier shall provide drawings, data sheets, certificates, test reports, operation manuals, warranties, training and spare parts.

Scope includes engineering coordination, shop drawings, material submittals, factory acceptance testing, delivery scheduling, site unloading, installation supervision, cable termination, labeling, testing, energization support and as-built documentation.

Anything reasonably necessary for a complete, safe and functional supply package is deemed included unless expressly excluded in this Contract.

3. Detailed Product Schedule

The following products are the contractual baseline. Equivalent products require prior written approval and must meet or exceed the specified technical requirements.

4. Product Specifications

11 kV XLPE copper cable: 3-core, 240 mm², copper conductor, XLPE insulation, metallic screen, PE outer sheath, minimum rated voltage 6.35/11 kV, supplied in approved drums with test certificates.

0.6/1 kV power cable: 4-core, 185 mm², copper conductor, XLPE/PVC construction, flame-retardant outer sheath, supplied in sequential drum lengths.

LV distribution panel: 400 V, 50 Hz, minimum IP54, Form 3b, copper busbar, molded-case circuit breakers, metering, protection relays and labeled outgoing feeders.

Automatic transfer switch: 400 V, 4-pole, minimum 800 A, motorized switching mechanism, adjustable transfer delay and manual bypass.

UPS system: 120 kVA, online double-conversion, minimum 15-minute autonomy at 80% load, maintenance bypass and SNMP monitoring interface.

LED industrial luminaires: minimum 150 lm/W, IP66, IK08, 4000 K, emergency variants where indicated, complete with mounting accessories.

Fire-rated cable tray: galvanized steel, minimum 2.0 mm thickness, hot-dip galvanized accessories, covers where specified and certified load capacity.

Earthing system: copper earth conductors, earth bars, clamps, test links and labeled inspection points, complete with continuity and resistance testing.

Surge protection devices: Type 1+2 at main distribution and Type 2 at downstream panels, coordinated with system voltage and short-circuit rating.

5. Bill of Quantities and Prices

Pricing is fixed for the initial 12-month term except approved variations. Unit rates include packaging, handling, documentation, testing and delivery to the project site.

Item	Description	Qty	Unit	Unit Price SAR	Total SAR
1	11 kV XLPE Cu cable 3C x 240 mm ²	18,000	m	145	2,610,000
2	0.6/1 kV XLPE/PVC Cu cable 4C x 185 mm ²	9,000	m	78	702,000
3	400 V LV distribution panel, Form 3b	8	set	68,000	544,000
4	800 A automatic transfer switch	4	set	42,000	168,000
5	120 kVA online UPS with batteries	3	set	125,000	375,000
6	Industrial LED IP66 luminaire	180	ea	1,250	225,000
7	Fire-rated galvanized cable tray system	1,200	m	145	174,000
8	Copper earthing and bonding package	1	lot	52,000	52,000

Contract Price: SAR 4,850,000 exclusive of VAT.

6. Payment Schedule

Payments shall be made against verified milestones and supporting documents. The Purchaser may withhold disputed amounts without withholding undisputed amounts.

Advance Payment — 10% of Contract Price (SAR 485,000): payable after execution, approved advance-payment guarantee and valid invoice.

Engineering and Submittal Approval — 10% (SAR 485,000): payable upon approval of technical submittals and drawings.

Manufacturing Completion — 25% (SAR 1,212,500): payable against factory inspection records, production evidence and certificates.

Factory Acceptance Test — 15% (SAR 727,500): payable after successful FAT and release for shipment.

Delivery to Site — 20% (SAR 970,000): payable after delivery, inspection and signed goods-received documentation.

Installation, Testing and Commissioning — 15% (SAR 727,500): payable after successful site testing and commissioning.

Final Acceptance and Documentation — 5% (SAR 242,500): payable after punch-list closure, as-built documents, warranties and final acceptance certificate.

Retention: 5% shall be deducted from interim amounts and released 50% at provisional acceptance and 50% after the warranty period, subject to unresolved defects.

Payment terms: valid invoices shall be paid within 30 calendar days after certification. VAT shall be handled in accordance with applicable Saudi requirements.

7. Delivery and Logistics

Target delivery shall commence within 16 weeks of the effective date. The Supplier shall provide a rolling four-week delivery forecast and notify the Purchaser of any anticipated delay within two business days.

Each cable drum shall have durable markings showing manufacturer, cable type, voltage, cross-section, length, drum number, gross weight and manufacturing batch.

Delivery vehicles shall comply with site access requirements. Damage caused by inadequate packaging or transport remains the Supplier's responsibility.

8. Inspection and Quality Assurance

The Supplier shall operate a documented quality management system. The Purchaser may inspect materials at the Supplier's premises and at the project site. Inspection does not relieve the Supplier of contractual responsibility.

Nonconforming goods may be rejected, repaired, replaced or accepted subject to an approved concession. Repeated nonconformance may trigger corrective-action requirements.

9. Factory Acceptance Testing

FAT shall include visual inspection, dimensional verification, insulation resistance, continuity, functional operation, protection settings, meter verification and review of manufacturing records as applicable to each equipment type.

At least ten business days' notice shall be provided before FAT. The Purchaser may witness tests directly or through an authorized third party.

10. Site Testing and Commissioning

Site testing shall include cable insulation and continuity tests, phase identification, earth continuity, breaker operation, protection verification, panel functional tests and commissioning records.

No energization shall occur without approved test results, permit-to-work controls and written authorization from the responsible project authority.

11. Health, Safety and Environment

Safety is a condition of performance. The Supplier shall comply with site HSE rules, applicable Saudi regulations and approved method statements.

Mandatory controls include induction, PPE, barricading, lifting plans, electrical isolation, lockout/tagout, permit-to-work, competent-person requirements, housekeeping, emergency access and incident reporting.

Live electrical work is prohibited unless specifically authorized under an approved energized-work procedure. All temporary power shall be protected and inspected.

Personnel shall be trained for their assigned tasks. Cranes, lifting accessories, ladders, electrical test equipment and other tools shall have current inspection records.

Any serious incident, near miss or environmental release shall be reported immediately and followed by a written report within 24 hours.

12. Environmental Requirements

The Supplier shall minimize waste, segregate recyclable materials, prevent oil and chemical releases, control dust and noise, and remove packaging and construction waste from designated areas.

Chemical products shall have safety data sheets available at the work location. Spill kits shall be available wherever oils, fuels or chemicals are stored or used.

13. Local Content and Saudi Industry

The Supplier shall maximize local content in accordance with the Purchaser's approved local-content plan and applicable Saudi procurement requirements.

Target local content for this Contract is 45% by contract value, subject to the approved measurement methodology. The Supplier shall submit monthly local-content reports showing Saudi purchases, local labor, local manufacturing, local services and qualifying expenditure.

Priority shall be given to qualified Saudi manufacturers and service providers for cable accessories, trays, support systems, transportation, testing services, documentation and other available categories.

The Supplier shall maintain evidence supporting local-content claims, including purchase orders, invoices, certificates of origin, payroll summaries, subcontractor declarations and manufacturer records.

Failure to meet the agreed local-content commitment without an approved justification may result in a corrective-action plan and contractual remedies.

14. Responsibilities of Purchaser

The Purchaser shall provide reasonable site access, approved interface information, timely review of submissions, designated inspection personnel and payment of properly certified amounts.

The Purchaser remains responsible for its own personnel and information supplied by it, subject to the allocation of risk in this Contract.

15. Responsibilities of Supplier

The Supplier is responsible for competent personnel, product conformity, delivery, installation activities within its scope, testing, safety, documentation, subcontractor control and warranty obligations.

The Supplier shall coordinate with other contractors and shall not obstruct access, emergency routes or ongoing project operations.

16. Subcontracting

No material subcontracting is permitted without prior written approval. Approval does not relieve the Supplier of any responsibility or liability.

Subcontractors shall meet the same HSE, quality, confidentiality and local-content requirements applicable to the Supplier.

17. Schedule and Delay

Time is of the essence for delivery milestones. If delay is attributable to the Supplier, liquidated damages shall apply at 0.5% of the delayed portion of the Contract Price per full week, capped at 10% of the Contract Price.

Excusable delay may include qualifying force majeure events, provided prompt notice, mitigation and supporting evidence are supplied.

18. Variations

The Purchaser may request additions, omissions or changes. Variations shall be valued using existing rates where applicable or otherwise by mutually agreed rates.

No variation shall be performed on the basis of a verbal instruction unless confirmed in writing by an authorized representative.

19. Warranties

Equipment shall be warranted for 24 months from final acceptance or 30 months from delivery, whichever occurs first, unless a longer manufacturer warranty is expressly stated.

The Supplier shall repair or replace defective equipment at its cost and shall provide replacement parts and labor necessary to restore compliance.

20. Defects and Corrective Action

Critical defects affecting safety or operability shall be responded to within 24 hours of notification. Other defects shall be addressed within five business days unless a different period is agreed.

Repeated defects may require root-cause analysis, corrective-action reports and increased inspection.

21. Insurance and Liability

The Supplier shall maintain workers' compensation/employer liability, third-party liability, motor vehicle insurance and other project-specific coverage required by the Purchaser.

Each Party shall be responsible for losses arising from its negligence, willful misconduct or breach, subject to the limitations and exclusions expressly stated in this Contract.

22. Financial Capacity and Security

The Supplier represents that it has sufficient financial and operational capacity to perform the Contract. The Purchaser may request reasonable evidence of continuing capacity where a material financial risk is identified.

Advance-payment and performance guarantees shall be issued by an acceptable bank and remain valid for the required contractual period.

23. Meetings and Reporting

Weekly progress meetings shall review procurement, manufacturing, delivery, quality, HSE, local content, risks and actions. Monthly executive reviews shall address schedule, commercial status and major risks.

Minutes shall be issued within two business days. Open actions shall have an owner and due date.

24. Risk Management

Key risks include manufacturing delay, cable-length mismatch, equipment incompatibility, failed FAT, site access restrictions, HSE incidents, supply-chain disruption, currency exposure and local-content shortfall.

The Supplier shall maintain a risk register with probability, impact, mitigation, owner and residual risk.

25. Contract Records and Document Control

All drawings, certificates, test reports, invoices, correspondence and approvals shall use controlled document numbers and revision status. Superseded documents shall be clearly identified.

Final documentation shall include an indexed dossier containing approved drawings, manuals, certificates, test reports, warranties, spare-parts lists and as-built records.

26. Confidentiality and Data

Each Party shall protect confidential commercial, technical and project information and use it only for Contract purposes. Disclosure is permitted where required by law or to approved professional advisers subject to confidentiality obligations.

27. Intellectual Property

Pre-existing intellectual property remains with its owner. Project-specific documents prepared and paid for under the Contract may be used by the Purchaser for operation, maintenance, modification and project completion.

28. Compliance and Ethics

The Parties shall comply with applicable anti-bribery, anti-corruption, sanctions, competition and procurement requirements. Gifts, improper payments and conflicts of interest are prohibited.

Any suspected unethical conduct connected with the Contract shall be reported through the designated compliance channel.

29. Penalties and Remedies

Contractual remedies may include rejection, replacement, delay damages, recovery of reasonable re-testing costs, corrective-action requirements and termination where permitted.

Nothing in this section prevents either Party from exercising rights available under the governing law.

30. Force Majeure

Force majeure means an extraordinary event beyond reasonable control that directly prevents performance, provided the affected Party could not reasonably avoid or overcome its effects.

The affected Party shall notify the other Party promptly, mitigate impacts and resume performance as soon as reasonably practicable.

31. Termination

Either Party may terminate for material breach that remains uncured after written notice and the applicable cure period. The Purchaser may also terminate for prolonged insolvency, abandonment or serious safety misconduct.

Upon termination, the Supplier shall secure the site, deliver completed work and documents, return Purchaser property and cooperate in an orderly transition.

32. Dispute Resolution and Governing Law

The Parties shall first attempt good-faith negotiation through their contract managers. Unresolved disputes shall be escalated to senior management before formal proceedings.

This Contract shall be governed by the laws and regulations applicable in the Kingdom of Saudi Arabia, subject to the agreed dispute-resolution forum.

33. Acceptance Criteria

Final acceptance requires completion of scope, successful testing, closure of material punch-list items, submission of final documents, delivery of warranties and confirmation that equipment is ready for intended operation.

34. Spare Parts and Training

The Supplier shall provide recommended two-year operational spare-parts lists and conduct operator/maintenance training. Training shall cover safe operation, preventive maintenance, troubleshooting and emergency procedures.

35. Final Contract Schedule and Signatures

The Parties confirm that the schedules, product specifications, payment milestones, HSE requirements, local-content commitments and approved variations form part of this Contract.

Authorized representatives shall sign below. This test document is not intended to create real legal obligations.

SIGNATURES

For the Purchaser: Gulf Integrated Projects Company (GIPC)

Name: _____ Title: _____

Signature: _____ Date: _____

For the Supplier: Advanced Power & Cable Solutions LLC (APCS)

Name: _____ Title: _____

Signature: _____ Date: _____

APPENDIX A — PAYMENT MILESTONE MATRIX

Milestone 1: 10% advance. Milestone 2: 10% approved engineering. Milestone 3: 25% manufacturing. Milestone 4: 15% FAT. Milestone 5: 20% delivery. Milestone 6: 15% commissioning. Milestone 7: 5% final acceptance.

Each claim shall include invoice, milestone evidence, approved inspection records, relevant certificates, delivery documentation and local-content evidence where applicable.

APPENDIX B — HSE CHECKLIST

Site induction; PPE; permit-to-work; lockout/tagout; lifting plan; equipment inspection; electrical isolation; emergency response; housekeeping; waste segregation; fire prevention; incident reporting; toolbox talks; competent supervision; safe access and egress.

APPENDIX C — LOCAL CONTENT EVIDENCE REGISTER

The Supplier shall maintain a register identifying supplier name, CR/registration details where applicable, country of manufacture, Saudi expenditure, labor category, invoice reference, purchase order, evidence type and monthly cumulative local-content percentage.

APPENDIX D — RISK REGISTER TEMPLATE

Risk ID | Risk | Probability | Impact | Initial Score | Mitigation | Owner | Target Date | Residual Score